may be working on a new product that could turn into a huge success or trigger a product lawsuit that results in an enormous drain on earnings.

I have found it very helpful to analyze companies this way—to look at the stock world as a collection of measurable values with options attached.

LAW IV: Many Financial Offerings Are Nothing More than Ponzi Schemes

In a Ponzi scheme, money is taken from new suckers and divided among the early contributors. A chain letter is a kind of Ponzi scheme. As the number of participants in a scheme expands, you need new money at a rapidly increasing rate to keep it going, and at some point not enough new dupes can be found, and the whole thing collapses. It happened to Ponzi. It happened to Mike Milken and his firm, Drexel Burnham Lambert: they financed junk bonds by getting people who bought the last issue to put up money for the next one. It's happening to governments and their social security systems, as we examined in Chapter 6.

The real estate market was a Ponzi scheme that lasted a very long time. Serious studies declared, in essence, "Hey, everybody, real estate always has high returns and low volatility," and for many years it did, because so many people were pumping money into it, trading properties with one another for ever-increasing prices. And new people were continually being sucked in. It worked to the point where the real estate business grew so big that not enough new money could be dragged in from the outside to sustain the kited prices. In 1996 the U.S. real estate market was still recovering from its crash of a decade earlier. The Japanese real estate market, whose bubble burst in 1989, is still on its back.

You can argue that the whole stock market is a Ponzi scheme.